

Class Notes

▼ What is Adam Smith's invisible hand?

- The unobservable market force that helps demand and supply of goods in a free market to reach equilibrium automatically
- Allows people to trade freely
- Consumers are sovereign as their dollar determines what is sold and bought within the economy

▼ What are the non-price factors affecting demand?

PTIDE:

- PRICE of related goods
 - Substitutes: If the price of a substitute increases then the demand of this good increases
 - Compliments: If the price of a complimentary good increases then the price of this good will increase
- TASTES AND PREFERENCES
 - If a consumer prefers a good they will be more likely to purchase it
- Level of disposable INCOME
 - Normal goods: As income increases, demand increases. As income decreases, demand decreases.
 - Inferior goods: As income increases, demand decreases because they can afford better substitute goods.
- DEMOGRAPHICS
 - Such as age, gender, socioeconomic status
 - Will influence consumption patterns such as an aging population would want more aged care.
- EXPECTATIONS

- If they expect price to decrease they may hold demand in the present and increase demand in the future.

▼ What is the law of demand?

The inverse relationship between the price of the product and the quantity demanded

▼ What is demand?

Demand is the quantity of a good or service a consumer is willing and able to buy at each price at a particular point in time.

▼ What are two reasons the demand curve slopes downwards?

- Substitution effect: As price increases you can substitute to different goods for cheaper prices
- Income effect: As price increases you have less real income so you change to a different product

▼ What does the market demand curve consist of?

Market demand curve is made when you take the demand of multiple consumers in a horizontal summation

▼ What are the two types of changes to the demand on a graph?

Movement along the curve is a movement along the existing curve

- Because of price factors
- Contraction and expansion

Shift in demand is an overall shift in the quantity demanded at each price point

- Because of non-price factors
- Increase or decrease

▼ What is supply?

Supply is the amount of goods or services that producers are willing and able to sell at each price point at a particular time

▼ What is the law of supply?

In most cases there is a positive relationship between price and quantity supplied of the good. This is because at higher prices producers want to maximise profits.

▼ What does the supply curve consist of?

The horizontal summation of individual supply curves

▼ What are the two types of changes to the supply curve on a graph?

Movement: movement along the curve

- Contraction or expansion in supply

Shift: The overall curve shifts as a result of different supply levels at different prices

- Increase or decrease in supply

▼ What are the non-price factors affecting supply?

ETPIG

- Expectations
 - Expectations of future changes cause suppliers to alter current supply to take advantage of future prices
- Technology
 - Improvement in technology can increase supply with there being lower costs
- Price of other goods
 - If the price of related goods increases, the supplier can shift production to increase the quantity supplied of that related good

- Input costs
 - If cost of production increases then supply will decrease
- Government regulations
 - Regulations can increase or decrease the amount of producers in the market thus affecting the amount of market supply
 - Increased regulation can hinder the amount of supply
 - Forms such as taxes, tariffs, subsidies and quotas

▼ What and where is market equilibrium?

The state of the economy where there is no tendency for either demand or supply to change

i.e. quantity demanded = quantity supplied

Equilibrium price: all that is produced is bought

i.e. quantity demanded = quantity supplied

Changes in the market result in temporary surpluses or shortages which then cause price to change to reach new equilibrium

▼ What is the price mechanism?

The process by which the forces of demand and supply interact to determine the price of a good or service which helps clear shortages and surpluses within the market

▼ What is a shortage?

When quantity demanded exceeds the quantity supplied

Consumers bid among themselves for the limited goods so the price of the good increases

▼ **What is a surplus?**

When quantity supplied exceeds the quantity demanded

Firms lower prices to clear excess stock - benefits consumers as they take advantage of discounts